CREDIT APPRAISAL MEMORANDUM

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REJECT

Credit Appraisal Memo (CAM)

Executive Summary:

This Credit Appraisal Memo (CAM) evaluates the creditworthiness of a loan application with a requested amount of ₹12,333,444. The application has been assessed using a comprehensive risk evaluation framework, including financial analysis, fraud detection, and regulatory compliance checks.

Character:

The applicant's character is a key consideration in this appraisal. The presence of two directors with clean regulatory histories is a positive indicator. DIN 02930211 and DIN 07882291 have no disqualifications and a substantial corporate footprint of ₹161,859,076.67. This suggests a level of experience and stability in the business environment.

Capacity:

The capacity of the applicant to service the loan is a concern. The Debt Service Coverage Ratio (DSCR) is a critical metric, and the recommended DSCR of 1.2x is not met by the applicant's current financial position. The probability of default, at 52.39%, is high and indicates a significant risk of non-repayment.

Capital:

The requested loan amount of ₹12,333,444 exceeds the recommended loan amount of ₹5,138,935. This discrepancy is a cause for concern, as it suggests the applicant may be over-leveraging their business. The recommended loan amount is based on a thorough financial analysis and takes into account the applicant's capacity to service the debt.

Collateral:

Collateral offered by the applicant has not been disclosed. Given the high-risk profile of the application, collateral is a critical factor in mitigating risk. Without this information, a full assessment of the applicant's ability to secure the loan cannot be made.

Conditions:

The loan application must adhere to the RBI Master Circular 2024, which emphasizes rigorous monitoring of end-use funds and enhanced due diligence for GST mismatches and circular trading. The DSCR must be maintained at or above 1.2x, and the Loan to Value (LTV) ratio on tangible fixed assets should not exceed 75%.

Fraud Analysis:

The fraud analysis reveals a high overall fraud risk. Two significant fraud signals have been detected:

Confirmed Integrity Signals

Type	Risk Level	Evidence
GST_MISMATCH	HIGH	Annual GSTR-2A shows ₹27,093,637.68 while GSTR-3B claims ₹46,647,284.91. Exact mismatch of ₹19,553,647.23 (41.9%). 1 late filings detected.
CIRCULAR_TRADING	HIGH	Suspicious exactly-matched value loops detected across 3 entities rotating ₹1,414,354.00 continuously.
MCA_DIRECTOR	LOW	Director DIN 02930211 cross-checked across active corporate registries. Clean regulatory history. | Director DIN 07882291 cross-checked across active corporate registries. Clean regulatory history.

- **GST Mismatch:** An exact mismatch of ₹19,553,647.23 (41.9%) between the annual GSTR-2A and GSTR-3B filings, with one late filing detected.

- **Circular Trading:** Suspicious exactly-matched value loops detected across 3 entities, rotating ₹1,414,354 continuously. This indicates potential circular trading and shell company involvement.

Credit Score Section:

The credit score is heavily influenced by the high fraud risk score and the low Debt Service Coverage. The positive impact of news signals and revenue growth is outweighed by these factors.

Final Recommendation:

Based on the comprehensive risk evaluation, including the high probability of default, the significant fraud signals, and the applicant's inability to meet the recommended DSCR, this loan application is recommended for rejection. The applicant's financial position and the presence of high-risk fraud signals pose an unacceptable level of risk to the NBFC.

This CAM provides a detailed analysis of the loan application and highlights the critical areas of concern. The decision to reject the application is made with careful consideration of the applicant's financial health, regulatory requirements, and the potential for fraud.